THE IMPACT OF COMPETITIVE FACTORS IN PRICES AND COSTS

Learning Outcome

- explain how the competitive position of a company based on a Porter's five forces analysis affects prices and costs

One of the tools that analysts can use to think about how competition will affect financial results is Michael Porter's widely used "five forces" framework (see **Porter 1980**) introduced in earlier learning modules.

Cognac Industry Overview

The cognac segment is Rémy Cointreau Group's most important business segment, accounting for over 90 percent of total operating profit. An important feature of the cognac market is that supply is limited and demand is growing. Supply is limited because the production of cognac, like that of champagne, is highly regulated, in this case through The Bureau National Interprofessionnel du Cognac. By regulation, cognac can be produced only in a limited geographic area, in and around the town of Cognac in southwest France. Furthermore, within the region, production volume is capped each year. Approximately 98 percent of production is exported. The cognac market is highly concentrated, with the top four players controlling 78 percent of world volume and 84 percent of global value. Rémy's market share is approximately 16 percent and 18 percent of global volume and value, respectively (*The Spirits Business,* June 2018). Demand for cognac has been growing because of increasing demand from Asia, particularly China and Singapore, more than offsetting a weakening European market. The global spirits market has grown more than 5 percent annually during the 2000–17 period (*Source:* IWSR drinks market analysis). Simultaneously, Rémy has also seen a product mix improvement because consumers increasingly prefer superior quality and more expensive cognac. Exhibit 18 summarizes Porter's five forces analysis of the cognac industry.

Exhibit 18: Porter's Five Forces Analysis of the Cognac Industry

Force	Degree	Factors to Consider
Threat of substitutes	Low	▪ Cognac consumers show brand loyalty and do not easily shift to other beverages or high-end spirits.
Rivalry	Low	▪ The market is consolidated, with four players controlling 78 percent of the world market in volume and 84 percent of global value. ▪ Only the European market is fragmented, with less than half of the market controlled by the top four.
Bargaining power of suppliers	Low/medium	▪ A large number of small independent vineyards supply inputs. ▪ Most of the distillation is carried out by a large body of independent distillers that sell to the big houses.
Bargaining power of buyers	Low	▪ Premium beverages are sold primarily to wine and spirits retail outlets that do not coordinate purchasing.

		etc.).

Threat of new entrants	Low	▪ Producers have long-term contracts with suppliers in the Cognac area.
		▪ Barriers to entry are high.
		  ▪ Building brands is difficult because they must have heritage/pedigree.
		  ▪ A large capital investment is required to build an inventory with "aged" cognac and set up a distribution network.

In summary, the cognac market, Rémy's largest and most profitable operating segment, exhibits a favorable profitability profile. In addition to limited supply and growing demand, the industry faces a generally favorable situation with respect to substitutes, rivalry, suppliers, buyers, and potential new entrants.

EXAMPLE 6

Analysis of Anheuser-Busch InBev Using Porter's Five Forces

The competitive structure a company faces can vary among countries, with implications for modeling revenue growth, profit margins, capital expenditures, and return on investments. For example, Anheuser-Busch (AB) InBev, the largest global brewer, operates in many countries, two of which are the United Kingdom and Brazil, the world's third largest beer market. AB InBev's competitive position and prospects in the highly consolidated and growing Brazilian market are much more favorable than in the fragmented and declining UK market.

The Brazilian beer market is divided among four players. AmBev (AB InBev's subsidiary in Brazil, of which it owns a 61.9 percent stake) is the dominant brewer with an estimated 65 percent market share in 2018 versus 20 percent for Heineken and 12 percent for Petropolis, Brazil's largest privately owned brewing group. Helped by its dominant market position and strong distribution network, AmBev was able to report an EBITDA margin of nearly 50.4 percent in 2018 (ri.ambev.com.br), the highest in the global beer industry. The industry participants focus less on price competition and more on expanding distribution and "premiumization" (i.e., selling more expensive beers.) Although the 2015–18 time period saw challenging trading conditions due to subdued consumer demand, causing years of decline in the market by volume, Brazil is still considered a promising market. In this environment, an analyst would likely forecast solid revenue growth for AmBev. Exhibit 19 presents an analysis of the Brazilian beer market using Porter's five forces framework. Most of the competitive forces represent a low threat to profitability (consistent with AmBev's historical profitability), implying that analysts would most likely forecast continued above-average profitability.

Exhibit 19: Analysis of the Brazilian Beer Market Using Porter's Five Forces

Force	Degree	Factors to Consider
Threat of substitutes	Medium	▪ Beer consumers do not easily shift to other beverages, but such alternatives as wine and spirits are available.

Rivalry	Low	▪ AmBev dominates the market with a 65% market share. Its economies of scale in production and distribution yield significant cost advantages relative to competition. ▪ Price competition is limited because of AmBev's cost advantages and because of typically increasing beer volumes.
Bargaining power of suppliers	Low	▪ The primary inputs (water, hops, barley, and packaging) are basically commodities.
Bargaining power of buyers	Low	▪ Beer is mostly consumed in bars and restaurants. The owners of these outlets represent a large and highly fragmented group of beer buyers. ▪ The supermarket industry in Brazil is relatively fragmented, and supermarkets are less likely to offer alternatives, such as private labels.
Threat of new entrants	Low	▪ New entrants face relatively high barriers to entry because of the high costs of building a brewery, establishing a national distribution network, and establishing a nationally known brand name.

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The UK beer market is also divided among four players, but the competitive structure is totally different than in Brazil. The market is more fragmented, with smaller market shares held by the largest players. Heineken, MolsonCoors, AB InBev, and Carlsberg had market shares of 24 percent (adbrands.net), 18 percent, 18 percent (www.ab-inbev.com), and 11 percent (carlsberggroup.com), respectively, in 2018. Consequently, the British market has no dominant brewer. Given the high fixed costs of a brewery, declining volumes of UK beer consumption, and the highly consolidated customer base, which provides the clients with substantial purchasing power (particularly in the retail channels), price competition is usually intense. A gradual switch from drinking beer in pubs and restaurants ("on-trade") to consumption at home ("off-trade") is making brewers even more exposed to the bargaining power of the dominant retail supermarket (grocers) chains. Increasing taxes on beer and rents faced by pub landlords add to the burden faced by the industry, leading to a steady decline of Britain's pub industry. Profitability has been lower than the beer industry's global average; operating margins are believed to be less than 10 percent. In this kind of environment, analysts would most likely forecast only very cautious revenue growth, if any. Exhibit 20 presents an analysis of the UK beer market using Porter's five forces framework.

Exhibit 20: Analysis of the UK Beer Market Using Porter's Five Forces

Force	Degree	Factors to Consider
Threat of substitutes	Medium	Beer consumers do not easily shift to other beverages, but such alternatives as wine, spirits, and cider are available.
Rivalry	High	The market is relatively fragmented with no dominant market leader and large numbers of small breweries. Declining beer volumes make price wars more likely.

Bargaining power of suppliers	Low	The primary inputs (water, hops, barley, and packaging) are basically commodities.
Bargaining power of buyers	High	The large supermarket chains that dominate the grocery sector have significant bargaining power. Large pub chains in the "on-trade" business (where beer is sold in pubs and restaurants) also have strong bargaining power.
Threat of new entrants	Low	Barriers to entry are relatively high because of the high costs of building a brewery, establishing a national distribution network (particularly given the history of brewers owning pubs and bars), and establishing a nationally known brand. Because the United Kingdom consists of islands, companies with breweries in other countries face higher transportation costs than existing participants.

There is a distinction between Porter's five forces and other factors that can affect profitability, such as government regulation and taxes:

> *Industry structure, as manifested in the strength of the five competitive forces, determines the industry's long-run profit potential because it determines how the economic value created by the industry is divided. Government is not best understood as a sixth force because government involvement is neither inherently good nor bad for industry profitability. The best way to understand the influence of government on competition is to analyze how specific government policies affect the five competitive forces. (**Porter 2008**, page 10)*

EXAMPLE 7

EuroAlco Case

In 20X2, EuroAlco was the beer market leader in Eurolandia (a fictional country) with 35 percent market share. The other four large brewers held 15 percent, 15 percent, 10 percent, and 7 percent share, respectively. The Eurolandia market is considered a growth market. It historically had high overall alcohol consumption but a relatively low per capita consumption of beer, a product that is attracting interest from the growing, younger population and is further supported by increasing disposable incomes.

At the start of year 20X1, the Eurolandia government, in its fight to curb alcohol consumption, tripled the excise duty (a special tax) on beer from EUR0.3 per liter to EUR0.9 and announced that excise duty will further increase by EUR0.1 per liter.

In the following year, 20X2, EuroAlco made efforts to strengthen the position of the more expensive brands in its portfolio. These efforts led to a 20 percent increase in selling costs. Similar to most consumer staple companies, EuroAlco experienced higher production costs. Poor grain harvests put price pressure on buyers of almost all feedstocks, and rising oil prices resulted in higher packaging costs. In 20X2, competing companies were much more cautious with A&P spending than EuroAlco.

Two analysts research EuroAlco at the start of year 20X3. In making their EuroAlco forecasts, both analysts use market data and the published annual report from EuroAlco (see Exhibit 21 and/or the Example 7 worksheet in the downloadable

Exhibit 21: EuroAlco Key Financial and Operational Data

€ millions	20X2	20X1	20X0	% change 20X2/20X1	% change 20X1/20X0
Retailer gross sales	11,504	10,248	9,180	12%	12%
Excise duty	2,900	2,520	900	15%	180%
As % of retail revenues	25%	25%	10%		
Value-Added-Tax, VAT (20%)	1,434	1,288	1,380	11%	–7%
Retailer net sales	7,170	6,440	6,900	11%	–7%
Typical retailer profit	935	840	900	11%	–7%
As % of retailer net sales	13%	13%	13%		
Brewer net sales	6,235	5,600	6,000	11%	–7%

Key Financial Indicators	20X2	20X1	20X0	% change 20X2/20X1	% change 20X1/20X0
Volume (mln hectoliters)	29	28	30	4%	–7%
Net sales	6,235	5,600	6,000	11%	–7%
Cost of sales	3,190	2,800	3,150	14%	–11%
Gross profit	3,045	2,800	2,850	9%	–2%
Selling expenses	2,088	1,680	1,650	24%	2%
Administrative expenses	145	140	150	4%	–7%
Operating profit	812	980	1,050	–17%	–7%
Average invested capital	3,000	3,000	3,100	0%	–3%
Gross margin	48.8%	50.0%	47.5%		
Selling expense %	33.5%	30.0%	27.5%		
Operating margin	13.0%	17.5%	17.5%		
Return on invested capital (pre-tax)	27%	33%	34%		

€ per hectoliter (hl)	20X2	20X1	20X0	% change 20X2/20X1	% change 20X1/20X0
Retail price	397	366	306	8%	20%
Excise duty	100	90	30	11%	200%
VAT	49	46	46	7%	0%
Typical distributor profit	32	30	30	7%	0%
Brewer net sales	215	200	200	8%	0%
Cost of sales	110	100	105	10%	–5%
Gross profit	105	100	95	5%	5%
Selling expenses	72	60	55	20%	9%
Administrative expenses	5	5	5	0%	0%
Operating profit	28	35	35	–20%	0%

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Both analysts assume that the government will impose a further increase in the excise duty (special tax on beer). They also assume that the excise duty increase will be borne by the consumers, who will face a 10 percent price increase that will allow the brewers to maintain their net (after-tax) revenues per hectoliter (hl). They assume that half the cost of sales is fixed per hectoliter and half is variable based on volume, that selling expenses will remain unchanged as a percentage of sales, and that administrative expenses are fixed.

1. Analyst A expects price elasticity of 0.8, indicating that volume will fall by 8 percent given the 10 percent retail price increase. Calculate the impact on

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Exhibit 22:

EuroAlco's Costs Structure for 20X2–20X3E (euro millions, unless noted)

		Analyst A		Analyst B	
	20X2	20X3E	YoY%	20X3E	YoY%
Volume (millions of hl)	29	26.7	−8.0%	27.6	−5.0%
Brewer net sales (€ per hl)	215				
Net sales	6,235				
Cost of sales	3,190				
Gross profit	3,045				
Gross margin	48.8%				
Selling expenses	2,088				
Administrative expenses	145	145		145	
Operating profit	812				
Operating profit margin	13.0%				
Cost of sales (fixed)	1,595	1,595		1,595	
Cost of sales (variable)	1,595				
Cost of sales (variable) per hl	55	55		55	
Selling expenses as % of sales	33.5%	33.5%		33.5%	

Hide Solution

Solution:

Exhibit 23 (see the Example 7 worksheet in the downloadable Microsoft Excel workbook) shows the results for both analysts' projections. Analyst A predicts that operating profit will decrease by 25 percent to EUR608 in 20X3, resulting in an operating margin decline from 13.0 percent in 20X2 to 10.6 percent in 20X3. Analyst A calculates a revenue decline of 8 percent to EUR5,736 based on volume dropping by 8 percent and a constant price per hectoliter of EUR215. The decrease in volume reflects the price elasticity of 0.8 and the price increase of 10 percent as a result of the excise duty increase. COGS sold fell only 4 percent because part of the costs are fixed. COGS as the sum of fixed and variable costs is EUR1,595 + [26.68 (hl volume) × 55 (hl cost)] = EUR1,595 + 1,467 (ignoring rounding error) or EUR3,062. Analyst A predicts selling expenses will decline in line with sales by 8 percent and administrative costs will remain unchanged because of their fixed character in the short term.

2. Analyst B expects price elasticity of 0.5, indicating that volume will fall by 5 percent given the 10 percent retail price increase. Calculate the impact on operating profit and operating profit margin in 20X3 using Exhibit 22, which is also in the Example 7 sheet in the downloadable Microsoft Excel workbook.

Hide Solution

Solution:

Analyst B forecasts that operating profit will decline by 16 percent to EUR684. Analyst B's calculations follow the same pattern as those of Analyst A, but Analyst B predicts a smaller, 5 percent, decline in volume. Analyst A's estimates are more pessimistic than those of Analyst B. Note that the net price per hectoliter for the brewer is held constant while the price for the consumer increased 10 percent as a result of the excise duty increase. Because of Analyst B's more optimistic volume forecast, fixed costs are

margin in 20X3.

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Exhibit 23:

Analysts' Results for EuroAlco's Cost Structure and Projection (euro millions, unless noted)

		Analyst A		Analyst B	
	20X2	20X3E	YoY%	20X3E	YoY%
Volume (millions of hl)	29	26.7	–8%	27.6	–5%
Brewer net sales per hl	215	215	0%	215	0%
Net sales	6,235	5,736	–8%	5,923	–5%
Cost of sales	3,190	3,062	–4%	3,110	–3%
Gross profit	3,045	2,674	–12%	2,813	–8%
Gross margin	48.8%	46.6%	–5%	47.5%	–3%
Selling expenses	2,088	1,921	–8%	1,984	–5%
Administrative expenses	145	145	0%	145	0%
Operating profit	812	608	–25%	684	–16%
Operating profit margin	13.0%	10.6%	–19%	11.6%	–11%
Cost of sales (fixed)	1,595	1,595	0%	1,595	0%
Cost of sales (variable)	1,595	1,467	–8%	1,515	–5%
Cost of sales (variable) per hl	55	55	0%	55	0%
Selling expenses as % of net sales	33.5%	33.5%	0%	33.5%	0%

3. Gross margin improved in 20X1 (50.0 percent) but fell in 20X2 (48.8 percent). Cost of sales was relatively high in 20X2 because of high barley costs, an important ingredient for brewing beer. Assume that in 20X2, half of the cost of sales is fixed and half is based on volume. Of the variable part of the cost of sales, assume that half the amount is related to the barley price in 20X2. Barley prices increased 25 percent in 20X2. Consider a scenario where no additional taxes are imposed in 20X3, revenues and volumes remain stable, and barley prices return to their 20X1 level. Calculate EuroAlco's estimated gross margin for 20X3.

Hide Solution

Solution:

If barley prices return to their 20X1 level, they will decline 20 percent in 20X3. Because volumes are assumed to remain constant, other variable costs will not change. Gross profit in 20X2 was 48.8 percent of sales, which indicates the cost of sales was 51.2 percent (100% - 48.8%). Barley is 25 percent of the cost of sales (because barley represents half of variable costs, and variable cost of sales represents half of total cost of sales). Cost of sales is predicted to decline by 25% × 20% = 5%. New cost of sales will be 51.2% - (5% × 51.2%) or 48.6 percent. Consequently, gross margin is predicted to be 100% - 48.6% = 51.4% in 20X3. Compared with the gross margin of 48.8 percent in 20X2, gross margin is predicted to increase by 260 bps.

Exhibit 24: Gross Margin Analysis

	20X3	20X2	YoY%
Volume	29	29	0%

Variable	1,436	1,595	–10%
Barley related	638	798	–20%
Not barley related	798	798	0%
Fixed	1,595	1,595	0%
Gross profit	3,205	3,045	5%
Gross margin	51.4%	48.8%	5%

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4. EuroAlco's selling expenses increased from 30 percent of sales in 20X1 to 33.5 percent of sales in 20X2. Which competitive forces most likely influenced EuroAlco's significant increase in selling expenses?

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Solution:

Intra-industry rivalry and threat of substitutes most likely influenced EuroAlco's significant increase in selling costs. By spending more on advertising, EuroAlco wanted to enhance the brand loyalty of its products, thus improving its competitive position versus its brewer rivals and makers of other alcoholic beverages. Furthermore, buyers' bargaining power probably also influenced EuroAlco's increased spending to the extent that advertising creates demand by the ultimate consumer. Strong demand at the ultimate consumer level for EuroAlco's specific brands could enhance the company's bargaining position with its direct customers, the distributors who serve as intermediaries.

5. Retailers are the direct customers of brewers. They buy directly from the brewer and sell to the ultimate consumer. Analyst A expects that the increase in mass retailers in Eurolandia will cause brewers' margins to decline. He expects EuroAlco's operating margin will decrease from 13 percent in 20X2 to 8 percent in 20X6, with stable sales (EUR6,235 million) and an unchanged amount of average invested capital (EUR3,000 million). Analyst B also sees the increasing importance of the larger food retailers but expects that EuroAlco can offset potential pricing pressure by offering more attractive trade credit (e.g., allowing the retailers longer payment terms). He thinks operating margin can remain stable at 13 percent with no sales growth. Average invested capital (EUR3,000 million), however, will double because of the extra investments in inventory and receivables. Describe the analysts' expectations about the impact of large retailers on brewers in terms of Porter's five forces and return on invested capital (ROIC; pre-tax). Which of the two scenarios would be better for EuroAlco?

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Solution:

The increase in mass retailers in EuroAlco is expected to strengthen the bargaining power of buyers relative to brewers. According to Analyst A, this will lead to a lower operating margin of 8 percent, while Analyst B believes margins can be maintained if the company offers much more favorable credit terms reflected in doubling of invested capital. Analyst A expects operating profit on invested capital to fall from 27.1 percent (13 percent × EUR6,235/EUR3,000) to 16.6 percent (8 percent × EUR6,235/EUR3,000). Analyst B's assumptions indicate that the ROIC (operating profit divided by invested capital) in 20X2 of 27 percent will fall by half to 13.5 percent as the operating profit is earned on double the amount of invested capital (i.e., 13 percent × EUR6,235/EUR6,000). The scenario envisioned by Analyst A is

Porter's five forces framework and similar analytical tools can help analysts assess the relative profit potential of a company by helping them understand the company's industry and its position within that industry. Understanding the industry and competitive contexts of a company helps analysts estimate whether, for example, sales growth is likely to be relatively high or low (relative to history, relative to the overall growth in the economy or a sector, and/or relative to competing companies) and whether profit margins are likely to be relatively high or low (relative to historical profit margins and relative to competing companies). The process of incorporating an industry and competitive analysis into expectations for future financial performance requires judgment. Suppose analysts observe that a given company is the market leader in a moderately competitive industry with limited buyer and supplier power and relatively high barriers to entry. In broad terms, analysts might project that the company's future revenue growth will be in line with that of the overall industry and that its profit margins and ROIC might be somewhat higher than those of other companies in the industry. But there is no mechanical link between the analysts' observations and projecting the company's future sales growth and profit margin. Instead, the link is more subjective and probabilistic.

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